

Equal-Weight Portfolio Commentary Report

Report Scope

- **Source:** equal-weight portfolio/commentary.txt
- **Portfolio type:** Equal-Weight
- **Commentary basis:** summary metrics and stress status from the source text

Executive Summary

- Equal-Weight portfolio shows a return-oriented profile with **CAGR 14.951%** and annual volatility **12.503%**.
- Risk efficiency is solid (**Sharpe 1.007**, **Sortino 1.722**), while stress testing flags equity-shock vulnerability.
- Historical drawdown gate is passed, but stress outcome remains a key portfolio constraint.

Core Metrics Interpretation

Metric	Value	Interpretation
CAGR	14.951%	Strong long-run capital growth profile
Volatility	12.503%	Moderate-to-high path variability
Max Drawdown	-19.933%	Material drawdown tolerance required
Sharpe	1.007	Good return per unit of total risk
Sortino	1.722	Downside-adjusted efficiency stronger than total-vol view
Beta	0.745	Market sensitivity below 1
Corr_base	0.000	No valid diversification inference from this field

Risk Structure

- RC decomposition is not provided in this source, so block/asset risk concentration cannot be quantified here.
- Beta below one and stress fail on equity shock indicate that equity drawdown remains the dominant stress driver.

Strengths

- Strong long-term return with Sharpe above 1.
- Sortino above Sharpe, indicating relatively controlled downside profile.
- Historical MaxDD gate status is passed.

Weaknesses

- Stress test result is **FAIL_STRESS** (**FAIL_ROLE_EQUITY_SHOCK**).
- Volatility and drawdown depth remain significant for conservative mandates.
- No RC/correlation structure in this source for full diversification diagnostics.

Scenario Behavior

- Portfolio profile is favorable in standard risk-premium regimes.
- In acute equity-shock regimes, protection is insufficient per reported stress code.

Conclusion / Key Takeaways

- Equal-Weight portfolio delivers strong return characteristics with good risk-adjusted ratios.
- Main trade-off is persistent equity-shock vulnerability despite acceptable historical drawdown behavior.